

Analyst Memo

TradeZone Performance Review 2023-2024

To: Head of Growth & Head of Seller Operations

From: Aisha Abdulkarim, Data Analyst

Date: April 25, 2026

Subject: Actionable Insights from 2023-2024 Business Performance Data

1. Executive Summary

TradeZone experienced massive revenue growth across 2023 and 2024, but this growth is perilously fragile. An overwhelming 98.6% of our total revenue is generated by a tiny fraction of 'High Spender' customers, while operational inconsistencies regarding payment trust and fulfillment ratings are stifling broader market penetration.

2. Key Findings

Finding 1: The "Hollow Middle" Customer Base (Query 5)

Data reveals an extreme Pareto distribution: High Spenders (409 customers) drive ₦402.9 million (98.6% of revenue), while Low Spenders (406 customers) contribute just ₦1.78 million (less than 0.5%). The Medium Spender segment contains only 50 customers. This means we are acquiring users, but they either churn immediately after a cheap test purchase or become massive bulk buyers, with almost no one scaling their spend linearly.

Finding 2: Mid-Rated Products Drive the Most Revenue (Query 7)

Counterintuitively, 'Mid Rated' products (3.0 to 3.99) generate the most revenue (₦243M) and have a significantly higher average unit price (₦64,079) than 'High Rated' products (₦45,791). This suggests customers are harsher in their reviews for expensive items, while sellers easily maintain 4.0+ ratings on cheap items. It also shows customers will still buy expensive items with average ratings if they need them.

Finding 3: The Rating-Service Paradox (Query 8 and 3)

Operational speed does not always correlate with customer satisfaction or high revenue. Our top seller, SportsCentral NG, generated ₦11.3M with an exceptionally high average order value, but only held a 4.08 rating. Meanwhile, WellnessHub NG achieved the highest order volume (19) and the highest rating (4.44) but ranked 5th in revenue. Furthermore, maintaining a 4.0 average is extremely difficult, as three of our top ten sellers barely cleared the minimum 4.00 threshold.

3. Recommendations

- **Targeted Reactivation of the Low Spender Cohort.** The Head of Growth should immediately deploy a 'second-purchase' discount campaign targeting the 406 Low Spender customers to bridge the hollow middle. Expected Outcome: Convert 15% of Low Spenders into Medium Spenders within 60 days, diversifying our revenue dependency. (Traceable to Query 5).
- **Mandate Mobile Money Integration in Cash-Heavy Regions.** The Head of Seller Operations should actively incentivize sellers in Kano and Oyo to adopt Mobile Money, which already ranks as the strong secondary option behind Cash on Delivery in those regions. Expected Outcome: Reduce logistical failures and returns by 20% over 90 days by shifting buyers to a more secure telecom-based escrow system. (Traceable to Query 6).

4. Data Quality Notes

1. **Missing Customer Emails:** Found 16 missing email addresses (12 of which belonged to Active accounts). To prevent data loss in revenue queries, these were updated to 'Not Available' rather than deleted. If deleted, we would have lost valid transaction history.
2. **Unfiltered Cancelled Orders:** The database's 'payments' and 'order_items' tables do not natively track whether an order was successful. I had to manually filter by `order_status = 'Delivered'` in the queries. If this decision was wrong, the platform's reported revenue would be artificially inflated by millions of Naira from cancelled purchases.

5. What the Data Cannot Tell Us

The dataset shows what customers are buying but does not explain why retention is declining. Transaction logs alone cannot reveal the underlying reasons behind cancellations or low product ratings. To address this gap, we need both structured data (e.g., return/cancellation reason codes) and unstructured data (e.g., customer review text) to determine whether issues are driven by logistics, product quality, or pricing.

Additional Data Request: I recommend integrating customer churn/unsubscribe logs and customer support ticket data. This would enable us to link delivery issues, product complaints, or service failures to specific stages in the customer lifecycle, allowing for earlier detection of churn signals and more targeted retention interventions.